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Marketing Management • 14e



Defining Marketing for the 21st Century

Discussion Questions

1. Why is marketing important?
2. What is the scope of marketing?
3. What are some fundamental marketing concepts?
4. How has marketing management changed in recent years?
5. What are the task necessary for successful marketing management?



Marketing



Demand

→ Jobs



Revenue

→ Profits → Giving

Understanding Marketing Management

- Marketing creates demand for a product, which in turn drives revenue
- Greater demand creates the need for companies to hire new workers, while revenue (top line) contributes to a company's bottom line (profits), which allow the company to be more fully engaged in socially responsible activities
- Many companies now have a Chief Marketing Officer (CMO) to put marketing on a more equal footing with other C-level executives such as the CFO and CIO
- Marketers must decide what features to design into a new product or service, what prices to set, where to sell products or offer services, and how much to spend on advertising, sales, the Internet, or mobile marketing

Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offers that have value for customers, clients, partners, and society at large.



Marketing management is the art and science of choosing target markets and getting, keeping, and growing customers through creating, delivering, and communicating superior customer value.



The Scope of Marketing

- Marketing is a *societal process* by which individuals and groups obtain what they need and want through creating, offering, and freely exchanging products and services of value with others
- Marketing is different from Selling-----selling is not the most important part of marketing! Selling is only the tip of the marketing iceberg

What is Marketed?

Persons



- Experiences
- Events
- Properties
- Organizations
- Information
- Ideas



Services



Goods



Places

What is Marketed?

- 1. Goods:** Companies market billions of fresh, canned, bagged, and frozen food products and millions of cars, refrigerators, televisions, machines, and other mainstays of a modern economy
- 2. Services:** Services include the work of airlines, hotels, car rental firms, barbers and beauticians, maintenance and repair people, and accountants, bankers, lawyers, engineers, doctors, software programmers, and management consultants
- 3. Events:** Marketers promote time-based events, such as major trade shows, artistic performances, company anniversaries and major sports events such as Olympics and World Cup

What is Marketed?

4. **Experiences:** A firm can create, stage, and market experiences. Walt Disney World's Magic Kingdom allows customers to visit a fairy kingdom, a week at a baseball camp with retired baseball greats, a four-day rock and roll fantasy camp, or a climb up Mount Everest, Ferrari Park in Abu Dhabi, PCB Talent Hunt Program
5. **Persons:** Personal branding----Artists, musicians, CEOs, physicians, high-profile lawyers and financiers, and other professionals all get help from celebrity marketers
6. **Places:** Cities, states, regions, and whole nations compete to attract tourists, residents, factories, and company headquarters. Place marketers include economic development specialists, real estate agents, commercial banks, local business associations, and advertising and public relations agencies e.g. Sindh Festival

What is Marketed?

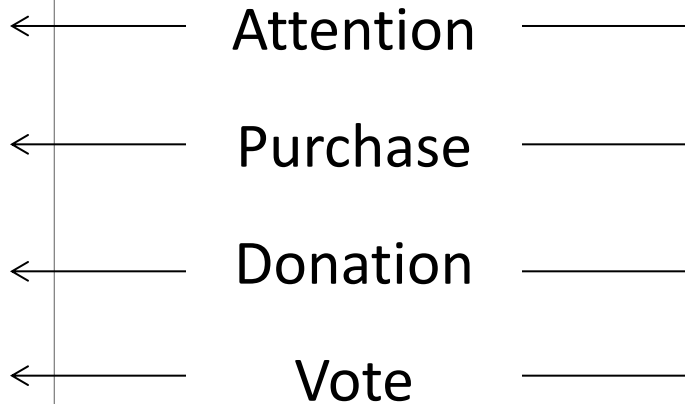
- 7. Properties:** Properties are intangible rights of ownership to either real property (real estate) or financial property (stocks and bonds). They are bought and sold, and these exchanges require marketing
- 8. Organizations:** Organizations work to build a strong, favorable, and unique image in the minds of their target publics. In Pakistan Safeguard's "Seht-o-Safai Program".
- 9. Information:** The production, packaging, and distribution of information are major industries. Information is essentially what books, schools, and universities produce, market, and distribute at a price to parents, students, and communities,
- 10. Ideas:** Every market offering includes a basic idea

Who markets?



Marketer

Response



Prospect

Who Markets?

- **Marketers** are individuals, groups, associations, companies, etc. that seek a response, such as attention, a purchase, donation, vote, etc., from another party which is called the **prospect**
- Marketers are skilled at stimulating demand for their products, but that's a limited view of what they do

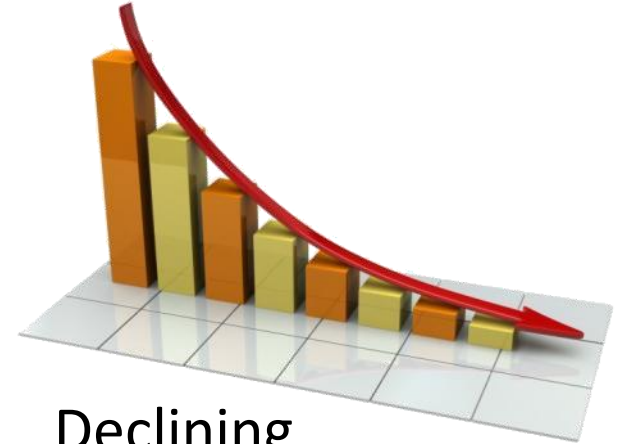
Types of Demand



Negative



Unwholesome



Declining



Irregular

- Nonexistent
- Latent
- Full
- Overfull

Types of Demand

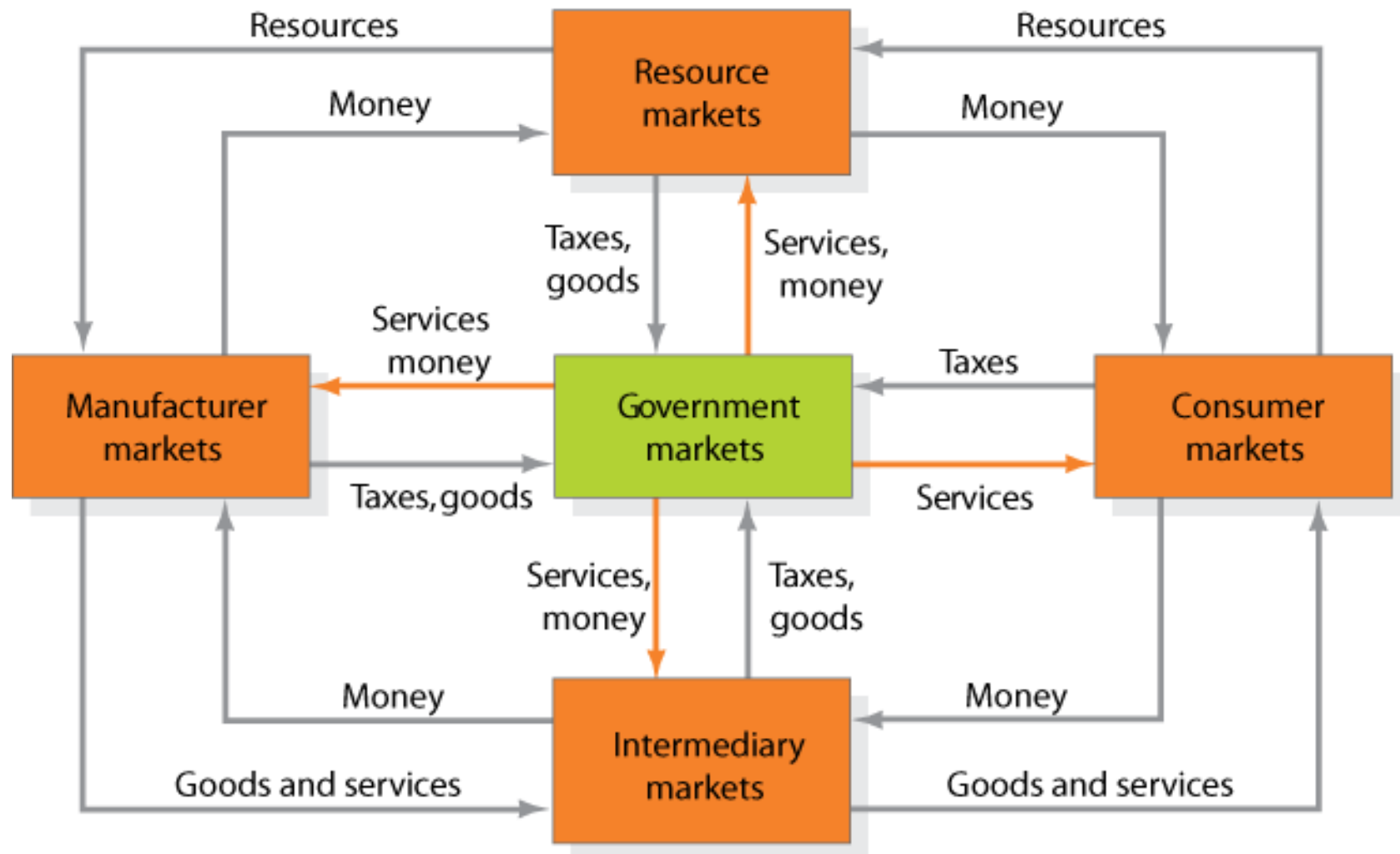
1. **Negative Demand** – consumer's dislike a product and may pay to avoid
2. **Nonexistent Demand** – consumers are unaware of or uninterested in the product or service
3. **Latent Demand** – There is no product on the market that can satisfy consumer needs
4. **Declining Demand** – Consumers purchase a product less and less frequently, or not at all. For example, the sale of albums (vinyl and CD's) are declining significantly
5. **Irregular Demand** – A product's demand varies by time, such as on a seasonal basis

Types of Demand

- 5. **Full Demand** – Consumers are buying all the products that enter into the market
- 6. **Overfull Demand** – There are more buyers than product available
- 7. **Unwholesome Demand** – Consumers are attracted to products that have undesirable social consequences, such as cigarettes or gambling.

Figure 1.1

Markets

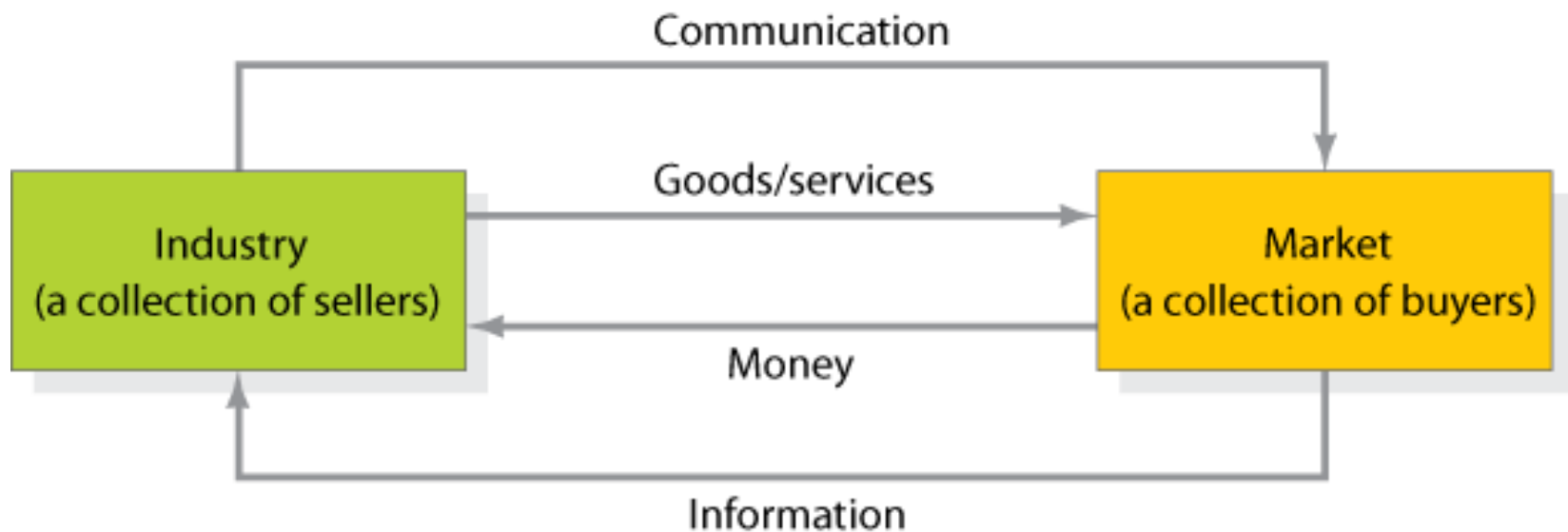


Markets

- Economists describe a market as a collection of buyers and sellers who transact over a particular product or product class
- There are five basic markets – Manufacturer, resource (financial, labor, raw materials), intermediary (wholesalers, resellers, etc.), consumer, and government.
- Marketers use the term market to cover various groupings of customers. They view sellers as constituting the *industry* and buyers as constituting the *market*
- They talk about need markets (the diet-seeking market), product markets (the shoe market), demographic markets (the youth market), and geographic markets (the Chinese market); or they extend the concept to cover voter markets, labor markets, and donor markets, for instance

Figure 1.2

Simple Marketing System



Key Customer Markets

Global Markets



Consumer Market



Business Markets



Government Market

Key Customer Markets

1. **Consumer Markets:** Companies selling mass consumer goods and services such as juices, cosmetics, athletic shoes, and air travel spend to end users
2. **Business Market:** Companies selling business goods and services often face well-informed professional buyers skilled at evaluating competitive offerings. Business buyers buy goods to make or resell a product to others at a profit
3. **Global Markets:** Markets based on different market entry strategies i.e. exporting, franchising, strategic alliances etc.
4. **Non-Profit and Governmental Markets:** Companies selling to nonprofit organizations with limited purchasing power such as churches, universities, charitable organizations, and government agencies need to price carefully

MARKETPLACES, MARKETSPACES, & METAMARKETS

1. **Marketplace** – physical locations (such as retail store)
2. **Marketspace** – digital location (online retailer)
3. **Metamarkets** – (Northwestern University's Mohan Sawhney has proposed the concept). The cluster of complementary products and services related in consumers mind, but spread across diverse set of industries.
 - **For Example:** The automobile metamarket consists of automobile manufacturers, new and used car dealers, financing companies, insurance companies, mechanics, spare parts dealers, service shops, auto magazines, classified auto ads in newspapers, and auto sites on the Internet

Markets



Marketplaces



Marketspaces



Metamarkets

Core Marketing Concepts

Needs, Wants, and Demands



Target Markets, Positioning, and Segmentation



Offerings and Brands



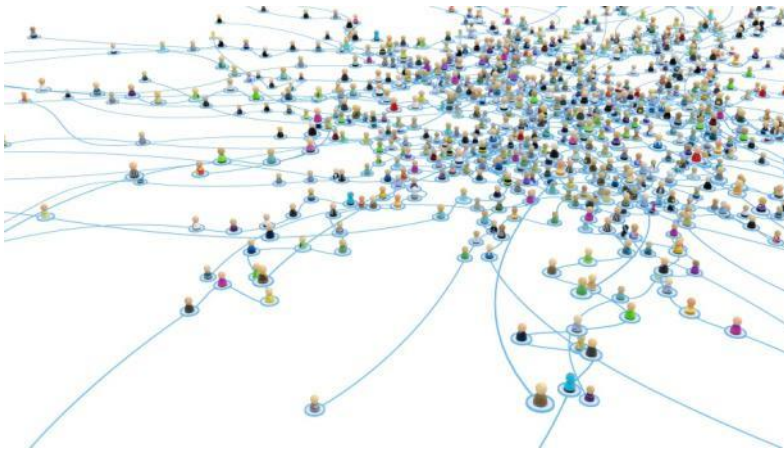
Value and Satisfaction

Core Marketing Concepts

Marketing Channels



Supply Chain

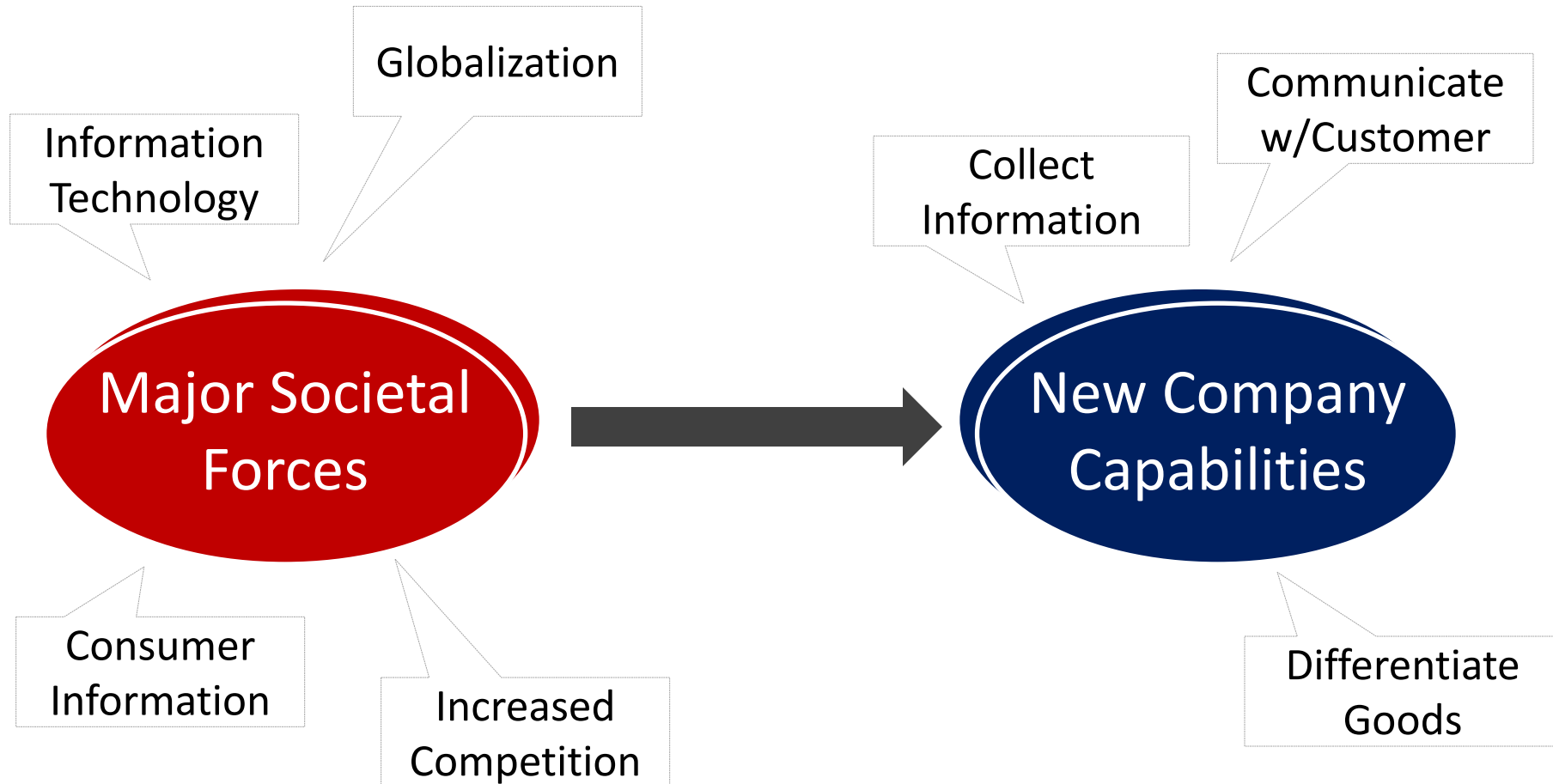


Marketing Environment



Competition

The New Marketing Realities



Who is Responsible for Marketing?

Entire Organization

Marketing Department



Chief Marketing Officer
(CMO)

Who is Responsible for Marketing?

- CMOs must have strong quantitative skills, to accompany their qualitative skills. Must be entrepreneurial as well as a team player
- However, the CMO nor the marketing department can be solely responsible for marketing. It must be undertaken by the entire organization
- David Packard of Hewlett-Packard is quoted as saying: “Marketing is far too important to be left to the marketing department.”

Marketing Concepts



Quality
Innovation



Create, deliver, and
communicate value

Production

Product

Selling

Marketing

Holistic

Mass production
Mass distribution

Unsought goods
Overcapacity



Marketing Concepts

- The five distinct marketing concepts are: Production, Product, Selling, Marketing, and Holistic
- These philosophies have evolved over time and began with the production concept
- The evolution of a new marketing concept does not mean that all companies are changing
- Many companies continue to operate under the production concept

1. Production Concept: Under a production philosophy the company will seek to mass produce products and to distribute them on a wide scale. The belief is that consumers prefer products that are widely available and inexpensive

- ❖ For Example: In China Legend Haier take advantage of country's huge and low cost labor force.

Marketing Concepts

- 2. Product Concept:** The product concept proposes that consumers prefer products that have higher quality, performance, or are more innovative. Often, managers focus too much on the product (a better mousetrap) but this does not always equal success
- 3. Selling Concept:** It argues that members of a market will not purchase enough product on their own so companies use the “hard-sell” to increase demand. Typically used with unsought goods such as insurance or cemetery plots, or when companies face overcapacity
- 4. Marketing Concept:** First emerged in the 1950’s and focuses more on the customer with a “sense-and-respond” attitude. Companies that have embraced the marketing concept have been shown to achieve superior performance than competitors.

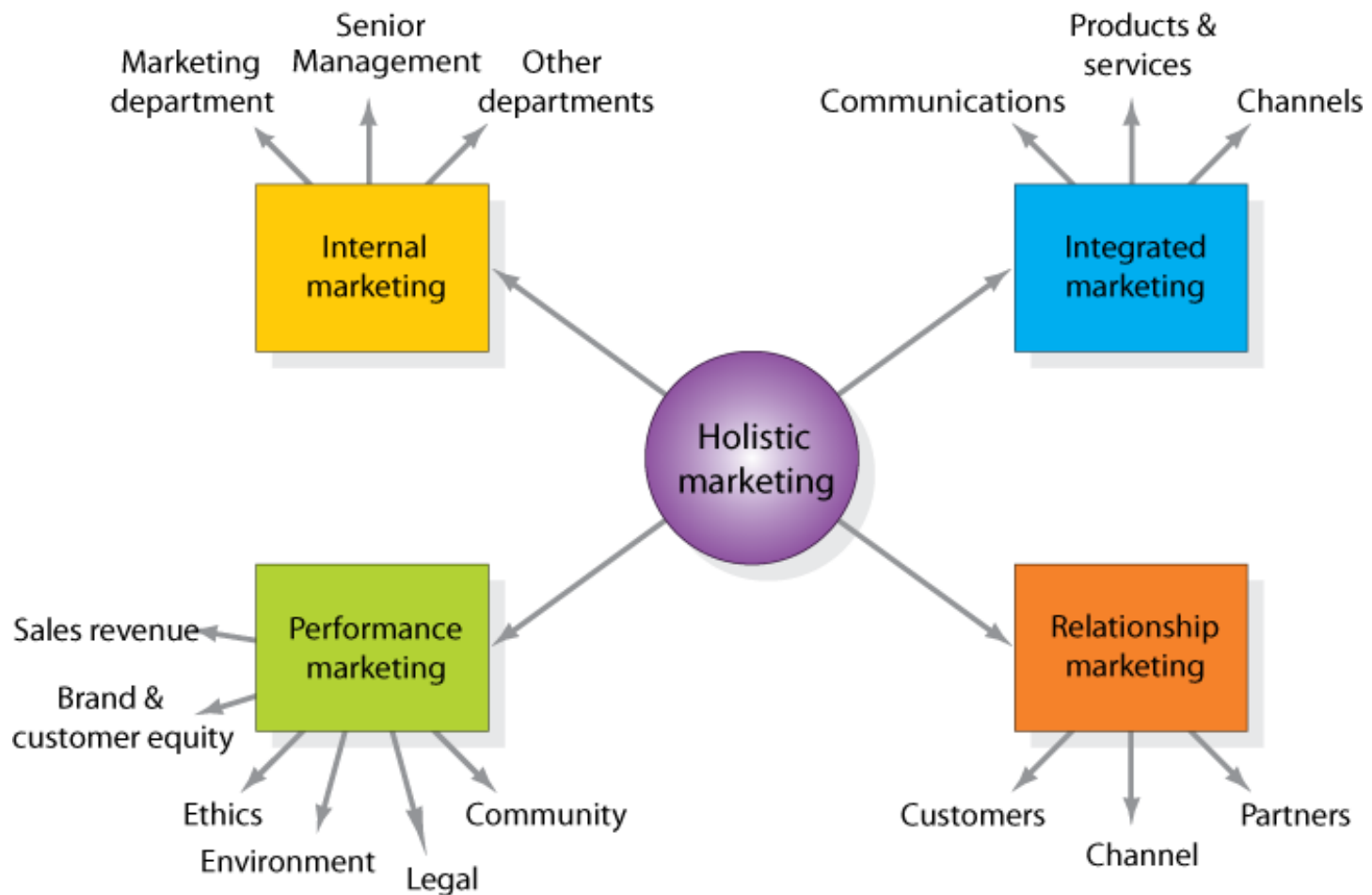
Marketing Concepts

5. The Holistic Marketing Concept:

- The holistic concept takes a philosophy that everything matters in marketing
- Holistic marketing acknowledges that everything matters in marketing—and that a broad, integrated perspective is often necessary
- Broad components characterizing holistic marketing are:
 - (i) Relationship marketing
 - (ii) Integrated marketing
 - (iii) Internal marketing
 - (iv) and Performance marketing

Figure 1.3

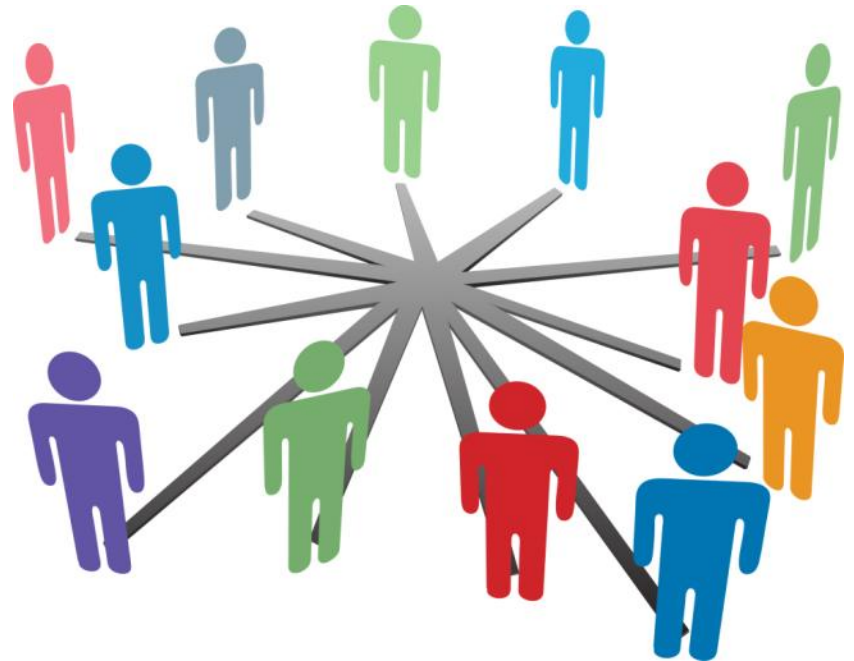
Holistic Marketing Dimensions



(i) Relationship Marketing



Build long-term relationships



Develop marketing networks

(i) Relationship Marketing

- Relationship marketing seeks to build mutually beneficial, long-term relationship with key constituents in order to earn and retain their business
- The four key constituents are: customers, employees, partners, and member of the financial community
- Attracting a new customer can cost five times as much as retaining existing customers so building long-term relationships makes financial sense for the company
- Marketing networks consist of the company and its supporting stakeholders who have built a mutually profitable business relationship
 - ❖ Royal Bank of Canada has 11 millions of customers and serve them on the basis of customer segments rather than product segments

(ii) Integrated Marketing



Create, communicate, and
deliver customer value

(iii) Internal Marketing



(iv) Performance Marketing



Social Responsibility



Financial Accountability

Holistic Marketing Dimensions

ii. Integrated Marketing:

- It holds that all activities undertaken by the company should create, communicate, and deliver value
- Further, all new activities should take into consideration all other marketing activities
- IM activities include IMC (Integrated Marketing Communications) strategy, IMC (Integrated Marketing Channel Strategy)

iii. Internal Marketing:

- Internal marketing is the task of hiring, training, and motivating able employees to serve customers well
- You can't promise excellent service if you can't deliver excellent service
- Internal marketing requires vertical alignment with senior management and horizontal alignment with other departments

Holistic Marketing Dimensions

iv. Performance Marketing:

- Marketers must understand both the financial and nonfinancial returns to a business and society from marketing programs and activities
- It involves both Financial Accountability (in terms of market share, brand image etc.) and Social Responsibility Marketing
- Financial accountability involves the justification of marketing expenditures in terms of financial returns
- But they must also think about the ethical, environmental, legal, and social aspects of their activities.

Figure 1.4

The Four P's of the Marketing Mix



Marketing Management Tasks

- Developing market strategies and plans
- Capturing marketing insights
- Connecting with customers
- Building strong brands
- Shaping market offerings
- Delivering value
- Communicating value
- Creating long-term growth



Marketing Management Tasks

- **Developing market strategies and plans**
 - An organization needs to identify its long term opportunities, use its market experience and core competencies in order to design the competitive products
- **Capturing marketing insights**
 - Consider macro and micro marketing environment
 - Form a reliable MIS (Marketing Information System)
 - Form a dependable marketing research system
- **Connecting with customers**
 - Create value for the chosen target market
 - Develop strong, profitable, long-term relationships with customers
 - Identify B2C and B2B segments

Marketing Management Tasks

■ **Building Strong Brands**

- Assess your strengths and weaknesses as a strong or a weak brand
- Position yourself as a low price or high quality brand
- Also keep focus on movements of your competitors

■ **Shaping market offerings**

- Firm's tangible offering to the market, which includes the product quality, design, features, and packaging
- A set of after sale services including leasing, delivery, repair, and training as part of its product offering
- Decision relates to price including wholesale and retail prices, discounts, allowances, and credit terms

Marketing Management Tasks

- **Delivering Value**

- Channel activities including retailers, wholesalers and physical distribution firms must be properly managed in order to deliver superior customer value

- **Communicating Value**

- Use IMC that includes the mass communication programs (advertising, sales promotion, events, and public) relations
- Also needs to plan personal communications (Direct and interactive marketing, as well as hire, train, and motivate salespeople)

- **Creating Successful Long-Term Growth**